SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

November 10, 2026 | 04:47 PM ET

MACRO REGIME: Mixed / Transitional

VIX 19.5 (+0.2 vs 20d) | SPY 20d -2.6% | IWM 20d +3.4% | IWM/SPY trend +6.1%

Leaders: Healthcare (+8.6%), Cons Disc (+8.6%), Real Estate (+7.5%)

Setup Grades

A - Prime Setup (0)	B - Building (1)	C - Early Stage (2)
	MANE	TRAX
		IRON

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
B	MANE	Verademics, Inco	Specialty Dermatolog	$6.20B	$148.44	$152.82	3.0%	+37.1	YES	YES
C	TRAX	First Tracks Biot	Biotech Clinical Cat	$2.20B	$52.33	$54.78	4.7%	+22.2	YES	YES
C	IRON	Disc Medicine, In	Rare Blood Disorder	$3.85B	$84.64	$86.26	1.9%	+9.1	YES	no

Not financial advice. Watchlist only - setups have NOT triggered. For informational purposes only. Do your own due diligence.

MANE

Verademics, Incorporated

$148.44

Pivot $152.82 | 3.0% away

RS vs SPY: +37.1%

B BUILDING

$6.20B Cap | 32M Float

Dermatology & Aesthetic Biotherapeutics | Theme: Specialty Dermatology Innovation | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: no | Base Tight: 4.59

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$152.82**
% to Pivot	**3.0%**
Days in Base	**13**
Tightness	**4.59 Fair**
52W Hi Prox	**97.1%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**589k <**
Wk2	**510k <**
Wk3 (oldest)	**716k**
Coil Strength	**17.8% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+37.1%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**no**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$6.20B**
Float	**32M sh**
P/E (TTM)	**-**
Fwd P/E	**-57.1**
Rev Growth	**-**
Short %	**13.6%**
Inst. Own	**-**
Target Pr.	**$175.50**

ENTRY TRIGGER

Close above $152.82 on volume >150% of 20-day average (>1.1M shares)

Target: $175.00 - measured move from base depth (~$12 base height added to pivot) + aligns with analyst target of $175.50

Stop: $141.00 - base low; breach invalidates the consolidation structure

CATALYST INTELLIGENCE

EARNINGS

Nov 10 - EARNINGS TODAY - no consensus EPS/rev estimates available for this pre-revenue biotech; focus will be on clinical pipeline updates, cash runway commentary, and any partnership discussions. Beat/miss history inapplicable for development-stage company. Watch for updated Phase 2/3 timelines or regulatory milestone guidance. Catalyst Impact: Earnings / High.

BUSINESS & POSITION

Verademics is a clinical-stage biotechnology company focused on novel therapeutics for chronic dermatological conditions including alopecia, psoriasis, and atopic dermatitis. The company is positioned as a niche disruptor in the $15B+ global dermatology therapeutics market, targeting high-unmet-need indications with differentiated mechanisms of action.

FACTOR & THEME

Healthcare is the leading sector (+8.6% over 20d), and biotech sentiment is accelerating with IWM outperforming SPY by +6.1%. Dermatology peers (e.g., Arcutis, Cassiopea) have seen renewed interest as GLP-1 halo effects and specialty pharma M&A activity provide read-through support for differentiated clinical-stage names.

NEWS FLOW

No material contract wins or partnership announcements in the last 60 days from public sources. Key forward catalyst is today's earnings call, which may provide Phase 2 data readouts or partnership updates. Short interest at 13.6% with 3.9 days-to-cover creates squeeze potential if clinical news is positive. Catalyst Impact: Earnings / High.

INSTITUTIONAL

Institutional ownership data unavailable from this feed - do not interpret as zero ownership. Volume dry-up with price holding at 97% of 52W high suggests quiet accumulation into the base. No insider buying in the last 60 days per SEC Form 4 data - baseline for biotech names but adds no incremental conviction. Float of 32.3M shares is tight enough for institutional moves to have outsized price impact.

KEY RISK

Thesis invalid on a close below the $141.00 base low (5% below current), or on disappointing clinical data/guidance cut at today's earnings. Binary event risk is elevated given same-day earnings; 13.6% short interest cuts both ways - squeeze fuel if positive, accelerated downside if negative.

Strong RS line at new high (+37.1% vs SPY) in sector leadership (Healthcare +8.6%), tight proximity to pivot (3.0%), but base_tight at 4.59 is loose for A-grade consideration and volume dry-up is imperfect (w3 > w2). Same-day earnings is a double-edged catalyst - high asymmetry but binary outcome risk. Strongest disconfirming argument: base is only 13 days old with loose structure, and biotech earnings without visible data catalysts often disappoint. No insider buying to provide fundamental backstop. Mixed macro regime reduces conviction on binary events. Conviction: Medium.



TRAX

First Tracks Biotherapeutics, I

$52.33

Pivot $54.78 | 4.7% away

RS vs SPY: +22.2%

C EARLY STAGE

$2.20B Cap | 34M Float

Biotherapeutics & Regenerative Medicine | Theme: Biotech Clinical Catalysts | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: no | Base Tight: 5.62

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$54.78**
% to Pivot	**4.7%**
Days in Base	**4**
Tightness	**5.62 Fair**
52W Hi Prox	**95.5%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**812k <**
Wk2	**477k <**
Wk3 (oldest)	**969k**
Coil Strength	**16.2% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+22.2%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**no**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$2.20B**
Float	**34M sh**
P/E (TTM)	**-**
Fwd P/E	**-14.8**
Rev Growth	**-**
Short %	**-**
Inst. Own	**-**
Target Pr.	**$74.75**

ENTRY TRIGGER

Close above $54.78 on volume >150% of 20-day average (>1.25M shares)

Target: $65.00 - measured move based on ~$10 base depth added to pivot

Stop: $49.50 - below recent consolidation low

CATALYST INTELLIGENCE

EARNINGS

REPORTED

RS line at new high with Healthcare sector tailwind, but base is only 4 days old (too immature), base_tight at 5.62 is loose, and volume pattern is inconsistent with w3 spiking above w2. Earnings already reported 7 days ago - no imminent catalyst. Early-stage setup requiring 2+ weeks of tightening before consideration. Conviction: Low.



IRON

Disc Medicine, Inc.

$84.64

Pivot $86.26 | 1.9% away

RS vs SPY: +9.1%

C EARLY STAGE

$3.85B Cap | 40M Float

Hematology & Iron Metabolism Therapeutics | Theme: Rare Blood Disorder Treatments | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 7.13

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$86.26**
% to Pivot	**1.9%**
Days in Base	**14**
Tightness	**7.13 Fair**
52W Hi Prox	**85.1%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**1183k <**
Wk2	**908k <**
Wk3 (oldest)	**2328k**
Coil Strength	**49.2% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+9.1%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$3.85B**
Float	**40M sh**
P/E (TTM)	**-**
Fwd P/E	**-13.4**
Rev Growth	**-**
Short %	**22.5%**
Inst. Own	**-**
Target Pr.	**$126.77**

ENTRY TRIGGER

Close above $86.26 on volume >150% of 20-day average (>1.32M shares)

Target: $99.50 - retest of 52W high, ~18% upside from pivot

Stop: $78.50 - below 50-day moving average zone and recent support

CATALYST INTELLIGENCE

EARNINGS

REPORTED

Proximity to pivot is tight (1.9%), but RS line is NOT at new high (only +9.1% vs SPY, well below 52W best), base_tight at 7.13 is very loose, and volume w3 spiked 2.5x higher than w2 - this is distribution, not accumulation. High short interest (22.5%, 11.6 days-to-cover) adds volatility but high beta (2.01) and debt/equity of 10.1x create fundamental fragility. Earnings reported 5 days ago with no visible catalyst ahead. Structurally flawed setup. Conviction: Low.

